

dollars of sales from the previous year, nearly one-third of its sales, according to a February 2013 Financial Times report.

“It’s the worst performance I have ever seen by a company in one year,” Walter Loeb, a veteran retail consultant said in Yahoo Business and Finance report.

With dismal reports like this, Johnson was ready to acknowledge the error of his ways by the end of February 2013. “Experience is making mistakes and learning from them, and I have learned a lot,” Johnson was quoted as saying in the Yahoo Business and Finance report. “We learned she (the customer) prefers a sale. At times, she loves a coupon.”

Johnson’s reluctant admission regarding the value of sales and coupons was evidently too little, too late. He was ousted as CEO in April of 2013.

The damning results of their one year experiment eliminating coupons was similar to those of Stein Mart, Inc. Stein Mart stores reduced their available coupons by 20 percent in 2011, in a move towards lower everyday pricing. “It got so out of hand that we had to reign it back in,” Jay Stein, interim president and CEO remarked in *Orlando Business Journal*. “We don’t want our customers to think they have to use a coupon to get a better price at Stein Mart.”

Stein Mart simplified their pricing, reducing coupons by 50 percent in 2012 to get away from the falsely high price tags, similar to the J. C. Penney’s lower pricing strategy. The impact was dramatic. Total sales initially fell 2.2 percent for the fourth quarter in 2011. Yet by September 2012 sales reports show an increased 2 percent. Perhaps the difference was that Stein Mart *decreased* coupons, but did not eliminate them entirely.